Social Gathering and Amplified Familiarity Bias*

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Abstract

This paper investigates the causal role of contemporaneous social interaction in mutual fund managers' portfolio choices. Using manually collected information on the Top 30 MBA networks of alumni reunion cohorts, I show that mutual fund managers connected to senior officers (defined as CEO, CFO, and Chairman) at firms increase connected holdings following the MBA alumni reunions. My performance tests show fund managers receive inferior returns on these connected positions following reunion events. My results are in favor of the familiarity hypothesis. Specifically, an increase in contacts leads to a notable surge in buying behavior, despite the absence of superior returns. These findings highlight the role of social networks as channels for the formation of behavioral bias.

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1 Introduction

While it is widely accepted that social interaction plays a pivotal role in shaping investment behavior and steering the financial decision-making process,[1] whether social interaction enhances investors' asset allocation efficiency through information transmission or is associated with the formation of behavioral biases is a subject of debate in the literature.[2] Among professional money managers, however, it would be surprising if social interaction could deteriorate their asset allocation efficiency since these investors are more sophisticated and experienced and face higher costs from poor portfolio performance due, for example, to career concerns (Chevalier and Ellison, 1999; Pool et al., 2012). In line with this, Ammann et al. (2022) uncover evidence for informed network investing by mutual funds. In this paper, I ask whether social interaction also fosters and reinforces behavioral biases that cause mutual fund managers to have inferior portfolio performance.

One prevailing challenge in analyzing the effect of social interactions is the limitations of the types of social networks used in previous studies. This literature commonly uses geographic proximity or shared interpersonal linkage to evaluate the likelihood of social interactions and has struggled to disentangle the effects of social interactions from other time-invariant omitted variables such as shared information resources and network characteristics.

Another challenge in studying whether social interaction facility professional money managers' biased portfolio choices is to identify social interactions that not only prompt the formation of behavioral biases but also occur in situations where the fund manager is less likely to possess a substantial information advantage.

In this paper, I hypothesize that the MBA alumni reunion is a useful solution for these challenges. For example, I argue that when a fund manager engages in stock purchases after recently encountering a senior officer (defined as CEO, Chairman, or CFO) from

[1] The literature spanning across both theoretical and empirical studies include Bikhchandani et al. (1992), Banerjee (1992), Madrian and Shea (2000), Duflo and Saez (2002), Hong et al. (2005), Massa and Simonov (2005), Ivković and Weisbenner (2007), Gray et al. (2012), Ahern (2017), Mitton et al. (2018), Ouimet and Tate (2020), Hirshleifer et al. (2021), and Han et al. (2022).

[2] Ozsoylev and Walden (2011) and Walden (2019) find support for the information hypothesis. In contrast, Hirshleifer (2020) and Han et al. (2022) find evidence that social interaction creates behavioral biases.

this firm during an MBA alumni reunion, such buying is more likely driven by familiarity bias than being necessarily well-informed about the investment. I motivate the use of this identification strategy in three ways. First, unlike previous studies that rely on static measures of the social network (i.e., geographic proximity, interpersonal linkages), the MBA alumni reunion captures changes in the intensity of social connection, allowing me to employ a staggered difference-in-difference (DiD) setting to control for unobserved variables by using fund-fixed effects and stock-quarter fixed effects. This enhances the validity of my results and provides a more comprehensive understanding of the relationship between social interactions and investment behavior. Second, staggered MBA alumni reunions introduce exogenously timed shocks to the strength of alumni connections (Lerner and Malmendier, 2013; Shue, 2013), which could amplify the investor's familiarity preference towards connected firms. Third, the implementation of Regulation Fair Disclosure restricts significant privileged information distribution that drives fund managers' superior investment outcomes during MBA alumni reunions. Regulation Fair Disclosure, a set of disclosure rules approved by the Securities and Exchange Commission in the third quarter of 2000, requires a company to reveal any material information to all investors and analysts simultaneously.[3] The intent of Reg. FD is to prohibit exactly the kind of privileged information distribution that is envisioned at the reunions. This rule is found to be effectively implemented by the regulators. Empirical evidence such as Cohen et al. (2010) shows that before Reg FD, sell-side analysts outperformed by up to 6.60% per year on their stock recommendations when they had an educational link to the company. But after the implementation of this rule, the premium for this educational link is nearly zero.[4] Although I do not claim to be able to completely dismiss the information hypothesis, it is important to bear in mind that MBA alumni reunions are more visible, traceable, and easy to monitor to the public and authorities and comparatively contain less significant information leakage that often arises in other more private means of interactions.

Whether stock buying followed by mutual fund managers' MBA alumni reunions is

[3] See https://www.sec.gov/rules/final/33-7881.htm.

[4] Cohen et al. (2010) find empirical evidence showing that before Reg FD, sell-side analysts outperform by up to 6.60% per year on their stock recommendations when they have an educational link to the company. Pre-Reg FD, this school-tie return premium is 9.36% per year, while post-Reg FD it is nearly zero.

merely familiar is an empirical question. Therefore, to investigate the role of this interaction in portfolio decisions, I proceed in three steps. First, I ask whether fund managers exhibit a preference for placing larger bets in firms run by individuals in their MBA alumni network. Second, I seek to assess whether the size of these bets increases following MBA alumni reunions. Third, I ask whether these bets reflect familiarity by examining the returns of MBA alumni reunion-related investments. This performance test will help us understand whether familiarity bias or alternative channels, such as information, drive these trades.

Under the information hypothesis, individuals derive benefits from collecting stock-related information and investment opportunities through social interactions (Brown et al. (2008); Pool et al. (2015)). According to this hypothesis, fund managers may gain access to valuable insights through their interactions with firms' senior officers. Even if these interactions do not yield illegal insider information or generate exceptional value, they can still offer insights into prevailing business conditions. As long as the fund manager possesses a comparative advantage in information gathering, they are more likely to act upon such insights. Consequently, if fund managers are informed about connected companies, it is anticipated that they will either overweight or underweight these companies depending on their information and generate positive abnormal returns.

In contrast, the familiarity hypothesis suggests that fund managers may exhibit a preference for companies with which they have greater social interactions, even in the absence of any substantive information gained through these interactions (Huberman (2001); Seasholes and Zhu (2010); Pool et al. (2012)). While professional money managers are likely acquainted with the majority of stocks in their investment universe, increased familiarity with firms arising from social interactions could influence their decision-making process when selecting stocks. Several factors could contribute to managers' preference for more familiar stocks. Firstly, the concept of "homophily[5]" (Lazarsfeld et al., 1954) may lead them to feel a connection to their networks, resulting in an affinity for investing in associated companies. Secondly, managers could harbor a more pessimistic outlook on

[5]Kalmijn and Flap (2001) find that relationships formed at school are more homophilous than those formed in other settings.

the prospects of companies with which they lack direct communication (Cao et al., 2011). Thirdly, managers might erroneously assume that their interactions confer a comparative advantage, even when no such advantage exists. For example, during social interactions, the firms' senior officers may be willing to share high performance more often than low performance with managers (Han et al., 2022), even though this performance is publicly available. Consequently, the managers may become more familiar with the firms' good aspects due to familiarity bias.

The empirical predictions arising from the familiarity hypothesis present a stark contrast to those derived from the information hypothesis. According to the familiarity hypothesis, when managers possess a higher degree of familiarity with companies run by individuals they frequently interact with, they are expected to overweight these specific companies in their portfolios. Moreover, the performance implications of familiarity are contingent upon the overall skill level of the managers. If managers are unskillful in stock selection, relying on familiarity to construct their portfolios would have no discernible impact on performance, as familiarity is neither superior nor inferior to other uninformed stock selection methods they employ. Conversely, skilled managers who succumb to a familiarity bias may experience a detrimental effect on their returns. This outcome occurs due to the biased choices underlying this portion of the portfolio, which stem from familiarity rather than well-informed decision-making.

In essence, the familiarity hypothesis offers distinct empirical predictions from the information hypothesis, suggesting relying on familiarity to select stocks will have no superior or even inferior performance effects compared to other more informed methods of selecting stocks.

2 Contribution to the Literature

The central contribution of this paper is presenting causal evidence to show how contemporaneous social interaction leads to mutual fund managers' inferior portfolio performance due to behavioral bias. Although previous studies explored the role of social

networks in amplifying behavioral bias among investors,[6] the MBA alumni reunion is a novel setting for making causal inferences regarding the role played by social interaction between professional investors and firms' senior officers (defined as CEO, Chairman, and CFO).

Whether social interaction enhances investors' asset allocation efficiency is a subject of debate in the literature. On the one hand, in rational learning models incorporating social information transmission, social interactions can help derive benefits from exchanging stock-related information and investment ideas (Brown et al., 2008; Pool et al., 2015). Under the assumption that nearby agents are more likely to interact, empirical studies, including Ivković and Weisbenner (2005) find that individual investors enjoy higher returns on local holdings than non-local holdings. Coval and Moskowitz (1999, 2001) add another dimension to this discussion, demonstrating that professional investors tend to over-invest in companies that have headquarters in proximity to the fund itself. This strategy, according to Coval and Moskowitz (1999, 2001), yields higher returns on local holdings. Similarly, Cohen et al. (2008) identify networks of fund managers and board members based on college attendance and find that fund managers earn higher returns on firms to which they are connected. This literature faces common limitations when attempting to draw causal inferences regarding the impact of social interactions since the utilization of cross-sectional variation only in either distance or personal connections between agents is far from enough.

On the other hand, social interactions can also create free-riding incentives that discourage private information production (Han and Yang, 2013). Particularly, in models with imperfectly rational investors, social interaction can propagate erroneous beliefs or unsophisticated trading strategies, thereby diminishing information efficiency (Burnside et al., 2016; Han et al., 2022; Hirshleifer, 2020).

My study advances the current body of literature by utilizing MBA alumni reunions as a natural experiment, shedding light on how social interactions induce familiarity bias among fund managers when making portfolio selections. In doing so, I successfully ad-

[6] See Huberman (2001), DeMarzo et al. (2003), Bailey et al. (2011), and Bali et al. (2021).

dress a challenge that previous research has faced by effectively disentangling the impact of contemporaneous social interactions by exploring both cross-sectional and time-series variations in agent connections. The findings of my research align with a behavioral interpretation of the preference for familiar stocks. Specifically, an increase in contacts leads to a notable surge in buying behavior, despite the absence of superior returns. By elucidating the role of social interactions and familiarity bias in portfolio choices, my study expands our understanding of behavioral factors in financial decision-making and adds valuable insights to the existing literature in this domain.

3 Exploring the Impact of Social Interaction

Shue (2013) shows that CEOs from the same MBA alumni reunion cohorts influence each other's managerial decision-making (i.e., acquisition strategy and compensation plan) and that the cohort effect is stronger in the year following alumni reunions as a result of increased interactions among the cohorts. Lerner and Malmendier (2013) use this same empirical setting to identify MBA reunion effects on alumni's decisions to become entrepreneurs. Motivated by these findings, I investigate whether the Top 30 business schools (as defined by U.S. News and World Report ranking) MBA alumni reunion events connecting mutual fund managers and the senior officers at firms facilitate the mutual fund managers' familiarity-driven trading as a result of increased interactions.

Many MBA programs host reunions in a predetermined and periodic format where alumni marking key graduation anniversaries are invited to come together for collective celebrations. These events, often referred to as "mixers," gather individuals from various graduating classes to honor their milestone reunion years concurrently. These milestone years typically follow a five-year increment pattern, inviting alumni to celebrate their 5th, 10th, 15th, 20th, and so on, anniversaries. This unique structure of the MBA alumni reunion events serves as a catalyst where alumni from diverse graduation years, chosen irrespective of their cohort characteristics, can join to form new connections and deepen existing ones. Unlike previous studies that rely on static measures of social networks, these cross-sectional and time-series variations in the intensity of alumni interaction allow me to employ the staggered Difference-in-Differences (DiD) method and control for time-invariant unobserved variables by using fund-fixed effects and stock-quarter fixed effects. This enhances the validity of my results and provides a more comprehensive understanding of the relationship between social interactions and investment behavior.

As fund managers may exhibit greater familiarity with companies led by individuals with whom they more frequently interact, accordingly, MBA alumni reunions could influence fund managers' investment behaviors and performance, particularly in firms whose senior officers have been invited to the same reunions. However, this effect is unlikely

to be mirrored in firms where senior officers do not receive such invitations. Therefore, I classify each stock in the fund's portfolio for each year into two types: reunion and non-reunion, and compare the change in the purchases and performance of the two types of stock by running stock-level DiD regressions. The analysis compares the changes in fund managers' equity acquisitions and financial returns pre- and post-reunion between reunion and non-reunion positions.

While the MBA alumni reunion presents a valuable setting for this study, several concerns arise when asserting causality between social interaction and its impacts on stock acquisitions and investment performance. One concern is omitted variables, as there might be other factors affecting both fund managers' social interactions and investment decision-making. Ideally, treatment should be random in that fund managers and senior officers at firms are randomly assigned to different universities' MBA alumni reunions. Since the shared education linkage could be endogenous, I include fund-fixed effects to control for unobservable time-invariant traits of fund managers. This would rule out alternative explanations such as fund managers' risk aversion, and allow me to investigate within-fund time-series variations.

In the main analyses, I run stock-level tests and compare two fund managers' investment performance on the same stock, one manager being an MBA alumni reunion connected to this firm's senior officer and another not having this connection, before and after the MBA alumni reunion. I compute each fund's three-, six-, and nine-month investment returns on each stock by cumulating each fund's quarterly returns of the dollar value invested adjusting for buys and redemptions, pre- and post-reunion, and run DiD regressions with the return as the dependent variable. With the panel data in which the same stock is invested by the same set of managers, some of them having interaction with senior officers at the firm during MBA alumni reunions, I can include Stock $\times$ Post-reunion fixed effects. The fixed effects control for all time-invariant stock traits including the underlying stock returns over a relatively short time span, before and after reunions. With the fixed effects, the regression isolates the timing decision of managers while holding fixed all other aspects of the investment. The information hypothesis suggests that fund

managers who buy before the connected stock price increases and sell before the price decreases would display superior stock-level investment performance and indicate strong evidence for informed network trading. In contrast, relying on familiarity to select stocks will display no timing ability to trade stocks which in turn will generate no superior or even inferior performance.

4 Data and Sample Construction

I combine data from various sources in this paper. To determine the existence of MBA alumni relations between the individuals in my sample, I use publicly accessible data that I collect from Ancestry, Bloomberg, LinkedIn, MBA program donation websites, Morningstar Direct (MS Direct), and mutual fund websites. I collect Top 30 MBA alumni reunion schedule information from these MBA programs' official websites. I obtain information on mutual fund managers and mutual fund holdings from MS Direct and the Center for Research in Security Prices (CRSP). For each stock held in the mutual fund portfolios, I collect data on the firm's management personnel from BoardEx of Management Diagnostics (BoardEx). Stock returns come from CRSP. Compustat is the source of stock characteristics.

4.1 MBA alumni network

In this study, I explore interpersonal interaction between individuals based on their social ties to one another. To uncover these ties, I use the Top 30 MBA program (as defined by U.S. News and World Report MBA ranking)[7] alumni network as my laboratory network metric. I set the sample period from January 2010 to December 2019 since most of the physical MBA reunion activities are suspended due to COVID-19.

I focus on MBA degrees for several reasons. First, social science studies find that relationships formed at school are more homophilous than those formed in other settings (Kalmijn and Flap, 2001). Second, professional education programs such as MBA pro-

[7] See: https://www.usnews.com/best-graduate-schools/top-business-schools/mba-rankings.

grams are structured to foster lasting social bonds among cohort peers for organizing alumni reunions and contribution campaigns (Shue, 2013). Lastly, many fund managers and firm senior officers in my data set graduated from business school with an MBA degree.

I identify plausible social interaction between mutual fund managers and firms' senior officers through MBA alumni reunion events and use the connections as my main explanatory variable. I use such interactions for several reasons. First, business schools organize reunions arbitrarily, often for specific classes celebrating milestone years (e.g., 5th, 10th, 15th, etc., anniversaries of their commencement) in the form of "mixers." This provides a forum for invitees from different milestone class years to develop relationships, resulting in arguably exogenous assignments of relationships among individuals from different age or class groups. This mitigates endogeneity concerns that social connections formed only within the same age group or same class are correlated with unobserved age- or class-specific factors. Second, an alumni connection provides a relatively endogeneity-free means of identification because the connections are typically formed many years before the corporate events being studied (Cohen et al., 2008).

A central measure of interest in the paper is an indicator variable for whether a fund manager and a firm senior officer are connected via MBA alumni reunions. To establish whether such a connection exists between any two sample individuals, I must identify their educational backgrounds. I obtain the educational backgrounds of mutual fund managers from the MS Direct data set, including school names, degrees obtained, and graduate years. Because graduation year information is largely missing in MS Directe, I supplement the data by collecting manually from publicly available sources, including Ancestry, Bloomberg, LinkedIn, MBA program donation websites, and mutual fund websites. For the firms, I collect the educational backgrounds and tenure duration of the firm's senior officers from BoardEx.

To identify a firm senior officer and a mutual fund manager pair as connected through MBA reunion events, I first determine whether the firm senior officer and the fund manager graduated from the same university with the same MBA degree type. Specifically, I

classify the degrees earned into several types including (i) business school (Master of Business Administration), (ii) medical school, (iii) general graduate (Master of Arts or Master of Science), (iv) Doctor of Philosophy, (v) law school, and (vi) general undergraduate, and focus *only* on MBA degree. I compare the school, degree, and class year information between the senior officer at firms and the mutual fund managers and determine whether they share MBA alumni connections with each other.

Having established MBA alumni connections between firm senior officers and mutual fund managers pairs, I verify whether reunion events facilitate additional connectivity between alumni. First, I contact the alumni associations, alumni relations, and reunion committees of each top 30 business schools and visit reunion websites to determine how reunions are organized. If any officer and manager pairs from certain class years are invited to the same alumni reunions, then I classify them as connected through the MBA reunion alumni network (*ReunionAlumni*). For example, assume that firm officer A and mutual fund manager B both graduated from the MBA program at the University of Southern California, which organizes reunion events for cohort classes separated by 5-year increments. If A's class year is 1990 and B's class year is 2000, then both receive invitations to the same event once every 5 years. In contrast, if any officer and manager pairs are invited to different alumni reunions (within the same alumni network), I classify them as connected through the alumni network (*Alumni*). For example, assume further fund manager C graduated from the MBA program at the University of Southern California in 1999. While firm officer A and fund manager C both are MBA graduates of the same university, they are never get invited to the same reunion events, since their reunions are not overlapped in 5-year increments.

I attempt to define these two connections in increasing the intensity of alumni interactions. I view the *Alumni* connection as the weaker type of alumni interaction since it requires one only to have attended the same university as someone else. However, I view the *ReunionAlumni* connection as the stronger type of alumni interaction and one that provides a higher likelihood of direct social interaction with the connected individual while attending reunions.

4.2 MBA alumni reunion events

I accumulate information regarding the reunion schedules of the top 30 MBA programs from their official websites. In instances where the websites did not provide ample details (i.e., the inviting classes, and scheduled dates) about the reunion, I reached out to the alumni reunion offices of these programs directly via phone calls to acquire the necessary data.

Upon examining the total counts in relation to the reunion format, I observe that all the degrees obtained by both senior officers at firms and fund managers in my sample are from school programs that schedule reunions in 5-year increments. Moreover, 42% of these degrees are from programs that arrange reunions in May, 32% in June, and 20% in July. Remarkably, more than 90% of the degrees obtained by the senior officers at firms and fund managers in my sample are from programs that host reunions in the second quarter of the year.

4.3 Mutual fund holdings and returns

I will now proceed to construct the sample of funds and fund holdings for my study. The universe of fund-quarter observations whose fund managers' MBA degree records (i.e., school name and graduation year) I am able to identify will naturally determine the universe of stock-quarter observations that are covered by the sample of funds, which in turn will span the universe of firm senior officers whose MBA degree records I am interested to match.

The initial sample of funds contains the universe of U.S.-domiciled mutual funds covered by the CRSP survival-bias-free Mutual Fund Holdings database, which is the most up-to-date database on mutual fund holding information. Sample funds for the main analyses are limited to actively managed US equity funds from January 2010 to December 2019.

To ensure a fair basis of comparison for fund managers, I narrow down the sample to actively managed domestic U.S. equity funds by excluding funds based on CRSP Lip-

per objective codes (i.e., I exclude foreign-based funds, U.S.-based international funds, fixed-income funds, real estate funds, sector funds, precious metal funds, balanced funds, closed-end funds, cap-based fund, short fund, option fund, and variable annuities). Adhering to common conventions,[8] I exclude funds with names that include "index" or "idx." Moreover, for funds with multiple share classes, I consolidate all related observations into a single observation, given their identical portfolio composition. For each fund that passes the aforementioned filters, I obtain historical management data from MS Direct, which details the name(s) of the fund manager(s) and the start and end dates of their management periods. For the stocks held by my sample of funds, I obtain return data from the CRSP Monthly Stock Files. I merge the return data with the funds' holdings using historical CUSIP numbers. From this starting point, my sample consists of 100,973 fund-quarter observations covering the period from January 2010 through December 2019. The sample includes 4,213 unique funds and averages 1,067 funds per calendar quarter.

4.4 Fund manager sample

The 4,213 mutual funds passing my initial filters are managed by 8,153 fund managers.[9] Before embarking on the search for the fund managers' MBA degree records as delineated in Section 4.1, I first assembled data concerning their biographical attributes. Starting off, I compile a comprehensive version of a fund manager's name (taking into account middle names, nicknames, birth names, names adopted after marriage, and suffixes), employment history, residential information, and portrait. For this, I make use of resources from the Investment Adviser Public Disclosure database of the Securities and Exchange Commission (SEC) and the member directory of the CFA Institute.

Insert Figure 1 near here.

I then proceed to identify the fund managers' Top 30 MBA degree records and suc-

[8] I adhered to the criteria established by Hong et al. (2005), Cohen et al. (2008), Pool et al. (2012), and Ammann et al. (2022)

[9] Morningstar assigns a unique identification number (UIN) to each fund manager. However, I identify and merge 98 cases in which two or more UINs refer to the same sample individual. The majority of duplicate assignments occur in the event of name changes, or due to the usage of pseudonyms.

cessfully match the profiles of 1,403 (or 17.20%) of the 8,153 fund managers in the final sample. Figure 1 illustrates my coverage of the Top 30 MBA degree record-identified fund managers relative to the total number of fund managers who satisfy the prior filters across the sample period. The share of Top 30 MBA degree record-identified fund managers increases throughout the sample period peaking in 2017, where my sample includes the Top 30 MBA degree record of 19% of all then-active fund managers running the U.S-domiciled universe of actively managed U.S. equity mutual funds.

Next, I limit the sample of mutual funds to those run by Top 30 MBA degree record-identified fund managers. I include team-managed funds if I identify the Top 30 MBA degree record of at least one fund manager in the team. Limiting the data to these observations reduces the sample to 26,381 fund-quarter observations. This final sample includes 1,151 of the 4,213 funds present in the initial sample. Figure 2 illustrates my coverage of the Top 30 MBA degree record-identified fund relative to the total number of funds that satisfy the prior filters across the sample period. The share of the Top 30 MBA degree record-identified fund increases throughout the sample period peaking in 2017, where my sample includes the Top 30 MBA degree record of 36% of all the U.S-domiciled universe of actively managed U.S. equity mutual funds.

Insert Figure 2 near here.

4.5 Firm senior officer sample

For the firm senior officers heading the firms whose stocks are held by my sample of MBA degree record-identified funds, I obtain employment data and biographical information from BoardEx. The data provider specializes in gathering and merging publicly available information about management personnel working in publicly traded and prominent private companies across North America and globally. BoardEx acquires its data from diverse sources, such as the SEC, press releases, official websites, and U.S. stock exchanges. These data sets have been instrumental in studying the impact of social net-

works in various economic research papers.[10] BoardEx offers comprehensive summaries of board compositions and senior management teams, with data collection and analysis dating back to 1999. However, the individual records for each company often have an even longer historical depth. Within its database, BoardEx provides detailed information on the current and past roles of senior officers in both active and inactive companies, including the start and end dates of these roles. Moreover, educational backgrounds, including the names of institutions, degrees obtained, and graduation years, are also recorded, along with affiliations to charitable or volunteer organizations. BoardEx classifies firm officers based on their seniority levels. Management personnel below the board level are categorized as "senior managers," while members of the board of directors who also hold executive positions within the firm are labeled as "executive directors." Those board members who are not employed by the company, known as "non-executive directors," are classified as "supervisory directors." This paper centers its focus on senior officers within firms, specifically defined as the CEO, CFO, and Chairman.

I merge the BoardEx data with the funds' portfolio holdings using the linking table provided by Wharton Research Data Services (WRDS), which provides a link between the firm identifiers of BoardEx (companyid) and CRSP (permco). I drop employment records for which BoardEx does not specify the start date of the individual's employment at a company. If BoardEx provides no end date for an individual's role, I follow the purveyor in assuming that the individual still occupies the role. From this starting point, the firms held by my sample of funds are directed by 10,250 firm senior officers. Based on this data I successfully find the Top 30 MBA degree record of 2,886 (or 28.15%) of the 10,250 firm senior officers in my sample. The MBA degree seems more attractive for CFOs, over 50% of CFOs in my sample hold a Top 30 MBA degree, making them the senior officers with the highest number of MBAs.

[10] See Cohen et al. (2008), Cohen et al. (2010), Engelberg et al. (2012), and Chen et al. (2020).

4.6 Descriptive statistics

In Table 1, I present summary statistics reflecting the average annual composition of my sample of funds, their common stock holdings, and the firms' management personnel. The sample of funds includes the 26,381 fund-quarter observations managed by the Top 30 MBA degree record-identified fund managers and covers the period 2010–2019. The benchmark universe of funds used to compute percentage coverages is the fund sample consisting of 100,973 fund-quarter observations whose construction is detailed in Section 4.1 (i.e., funds populating CRSP's U.S.-domiciled universe of actively managed U.S. equity mutual funds). On average, my sample includes 622 funds per year, constituting an annual average coverage for the full sample period of 33% of the benchmark universe of funds, or 32% of the universe's total assets under management, respectively. The sample of the Top 30 MBA degree record-identified fund managers averages 645 individuals per year, constituting an annual average coverage of 17% of all managers active in the period 2010–2019. The full sample of firms whose stock is held by the funds averages 3,878 firms per year, which constitutes an annual average of 69% of all stocks in the CRSP universe, or 83% of the universe's total market capitalization. On average, these firms are headed by 4,132 firm senior officers, covering an average of 24% of all firm senior officers present in the BoardEx universe. From these individuals, my matched sample of the Top 30 MBA degree record-identified firm senior officers averages 1,532 individuals per year.

Insert Table 1 near here.

Table 2 reports the characteristics of sample funds separately for the Table 1. The typical fund in the Top 30 MBA degree-identified category is managed by a team of 2.45 managers. Among these managers, typically 1.2 possess a Top 30 MBA degree. On average, these funds have a portfolio of 136.12 stocks, with 15.25 having a connection to the fund manager through an MBA network. About 2.25 stocks from these portfolios are linked to the fund manager via an MBA reunion.

Insert Table 2 near here.

5 Main Results

Determining whether securities from a manager's MBA alumni networks are driven by familiarity is an empirical question. Therefore, to comprehend the impact of such interactions on portfolio decisions, I undertake a three-step investigation. First, I ask whether fund managers exhibit a preference for placing larger bets in firms run by individuals in their MBA alumni network. Second, I seek to assess whether the size of these bets increases following the MBA alumni reunions. Third, I ask whether these bets reflect familiarity by examining the returns of MBA alumni reunion-triggered investments. This performance test will help us understand whether familiarity bias or alternative channels, such as information drive these trades.

5.1 Do funds overweight stocks from their managers' MBA alumni networks?

In this section, I examine whether fund managers' MBA alumni networks influence the funds' holdings. Equity portfolio managers may exhibit preferences for certain companies based on a number of characteristics. If mutual fund managers exhibit a familiarity preference toward companies run by individuals they frequently interact with, then we should expect that they overweight these companies in their portfolios. Managers may also place largely concentrated bets in connected companies because of comparative advantages in collecting information through their interactions, but it could also lead to underweighting if the information is negative.

In order to examine managers' portfolio choices, I created a metric to define "connected" holdings. I define two types of connections between fund managers and the firm, based on whether a fund manager in fund i and a senior officer in firm s attended the same MBA program ($Alumni$), or attended the same MBA program plus could be invited to the same MBA alumni reunions ($ReunionAlumni$).[11] By definition, the connection

[11] In an untabulated test, I construct an alternative connection variable by including $ReunionAlumni$ with only alumni connections where fund managers and firm senior officers graduated in the same year. The regression results using the alternative connection variable are qualitatively similar to the results using the

ReunionAlumni is a subset of the connection *Alumni*. I argue that these connections are in increasing intensity of alumni interactions.

I begin my empirical analysis by examining the portfolio weight that fund managers place on their MBA alumni network.[12] I do so by estimating the following regression equation:

$$w_{i,s,t} = \beta_0 + \beta_1 Connection_{i,s,t} + \Gamma Controls_{i,s,t} + \epsilon_{i,s,t}, \quad (1)$$

where $w_{i,s,t}$ is the fund i's portfolio weight in a given stock s at time t. The variable $Connection_{i,s,t}$ represents the two types of relationships between fund managers and firms that I previously defined. $\Gamma Controls_{i,s,t}$ is a vector of control variables including *Style*, the percentage of the fund's total net assets invested in the style corresponding to the stock being considered (*style* is calculated as in Daniel et al. (1997)), market value of equity (ME), book to market (BM), and past 12-month return (R12). If fund managers tilt their portfolios toward the companies managed by individuals in their MBA alumni network, then we would expect to find that β_1 is positive and statistically significant.

Insert Table 3 near here.

In Table 3, I report the coefficient estimates and standard errors clustered at the fund level from ordinary least squares (OLS) pooled regression estimations of various forms of Equation 1. All regressions include quarter-fixed effects, and the unit of observation is stock-fund-quarter. The basic result is shown in Columns (1) – (2), in which I include only an expression of $Connection_{i,s,t}$ and a constant in the regression: compared to the average weight in a given stock, mutual funds place larger bets on connected companies. As seen in Column (1), compared to the average weight of 81.3 basis points, mutual funds invest an additional 8.3 basis points in companies whose senior officers attended the same MBA program. Moreover, the additional allocation to connected companies is increasing with

original *ReunionAlumni*.

[12] I calculate the portfolio weights in stocks as the dollar investment in these stocks divided by the fund's total dollar holdings in the reported period.

the intensity of the alumni interaction: funds place an additional 18.3 basis points in firms whose senior officer and fund manager overlapped at the MBA alumni reunions, roughly 22 percent higher relative to the companies without such a connection.[13]

In Column (3), I incorporate both connections into one regression to confirm these two connections are significantly different from each other. In Column (4), I construct an alternative connection variable by excluding from *ReunionAlumni* all alumni connections where fund managers and firm senior officers graduated in the same year. The regression results using the alternative connection variable are qualitatively smaller than the results using the original *ReunionAlumni* but still remain statistically significant. The findings indicate that the network effects aren't solely attributed to connected pairs from one specific class year. Starting from Column (5), I incorporate a set of controls and fixed effects to examine whether the network effects are robust.

In Column (6), I estimate the regressions from Column (3) with industry-fixed effects. While I find industry-fixed effects to explain the variation in fund managers' portfolio allocations toward alumni-connected stocks, the coefficient on reunion-connected stocks remains statistically highly significant at 13.43 basis points. In Column (7), I estimate specification with firm fixed effects. The specification controls for the average weight funds have in each stock and rely on a variation in the fund level over time (i.e., fund manager changes) to explain portfolio weights. Controlling for firm fixed effects, fund managers allocate significantly more capital to securities of both alumni- and reunion-connected stocks, with the latter effect being almost twice as large. Finally, in Column (8), I estimate the regressions with fund fixed effects, relying solely on a variation in the stock level (i.e., firm senior officer changes). While I find fund fixed effects to decrease the weights allocation toward reunion connected stocks, the coefficient on alumni connected remains large at 11.02 basis points.

In summary, although incorporating industry, firm, and fund fixed effects does explain part of the variation in managers' portfolio choices, all the specifications tell a consistent

[13] As mutual funds tend not to short (nor have portfolio weights above 100 percent), I have both left- and right-censored portfolio weight data, so OLS may not be appropriate. To deal with this, in unreported tests, I run the portfolio weight specifications using Tobit regressions with 0 and 100 as lower and upper bounds. The results look nearly identical in terms of magnitude and significance.

story: portfolio managers place larger bets in the MBA alumni network, and these portfolio allocations appear to be strongly influenced by the degree of alumni interaction within these networks.

5.2 Do funds' connected stock holdings evolve following their managers' MBA alumni reunions?

The tests thus far concern the cross-sectional variation in MBA alumni network investments between connected and unconnected mutual funds. The resulting estimates suggest that variation in the mutual funds' connection status impacts variation in connected holdings, for example, mutual fund managers allocate more weight to the firms managed by individuals with whom they have more interactions while participating in the MBA reunions. However, these tests, by design, are limited in addressing the causal impact of social interactions on mutual fund managers' trading decisions. This is because the MBA alumni connection is static and endogenous, we cannot rule out if the results are driven by bias from unobserved confounding factors, such as school-specific common shocks. For example, a business school professor indoctrinates her MBA students with a particular management philosophy, which is likely to encourage MBA network investments even without any actual interactions happening among alumni.

In this section, I address these issues using a useful setting of MBA alumni reunion events, which serves as a catalyst where alumni from diverse graduation years, chosen irrespective of their cohort characteristics, can join to form new connections and deepen existing ones. The MBA alumni reunion event captures changes in the intensity of social interaction allowing me to utilize a staggered difference-in-difference (DiD) framework that includes both fund-fixed effects and stock-quarter fixed effects to control for potential unobserved confounding factors. This provides a more comprehensive understanding of the role played by social interaction in investment decision-making.

I estimate the effects of the MBA alumni reunion, which increases the degree of alumni interaction between fund managers and senior officers at firms, on the portfolio weights

for connected firms using the following difference-in-difference approach:

$$\begin{aligned}\Delta w_{i,s,t} = \beta_0 + \beta_1 Connection_{i,s,t} + \beta_2 ReunionQtr_{i,t} + \beta_3 ReunionQtr_{i,t} \\ \times Connection_{i,s,t} + FundFE_i + StockQuarterFE_{s,t} + \epsilon_{i,s,t},\end{aligned} \tag{2}$$

where $\Delta w_{i,s,t}$ is the fund i's portfolio weight change in a given stock s from time $t-1$ to t. $Connection_{i,s,t}$ represents the two types of relationships between fund i and firm s at time t. These relationships are based on whether a fund manager in fund i and a senior officer in firm s attended the same MBA program (*Alumni*), or attended the same MBA program plus could be invited to the same MBA alumni reunions (*ReunionAlumni*).[14] $ReunionQtr_{i,t}$ is a dummy variable equal to 1 if the manager of the fund i is invited to an MBA alumni reunion in quarter t. The coefficient of interest is β_3, which measures how the mutual fund i's portfolio weight changes for the firm s with a given $connection_{i,s,t}$ type during a reunion in time t relative to the mutual funds' portfolio weight changes for this same firm without this type of $Connection_{i,s,t}$. If fund managers tilt their portfolios toward the companies managed by individuals they more frequently interact with while attending the reunion events, then we would expect to find that β_3 is positive and statistically significant.

In the main specification, I include fund fixed effects to control for time-invariant features of fund managers (i.e., risk aversion), and Stock-Quarter fixed effects to absorb the effect of each stock's average return over a relatively short time span before and after the MBA alumni reunion. By incorporating these stock-level fixed effects into the model, I am able to focus solely on the time-series variations in two different types of fund managers' holdings decisions of the same stock. The coefficient of the interaction term, β_3 therefore, signifies how an MBA alumni reunion influences the fund manager's investment distribution in firms run by individuals they interact with. $\epsilon_{i,s,t}$ is the residual. I compute standard errors that are robust to heteroscedasticity and double-clustered by fund and quarter.

Insert Table 4 near here.

[14] By definition, the connection *ReunionAlumni* is a subset of the connection *Alumni*.

Table 4 shows estimation results for Equation 2. Column (1) presents the baseline difference-in-difference estimates. With $StockQuarterFE$ included, the coefficient on $ReunionAlumni \times ReunionQtr$ shows that funds increase weights by 1.45 basis points on average in firms whose senior officer and fund manager overlapped on the MBA alumni reunions after the reunions compared to the funds without such connections. The coefficient is statistically significant at the 5% level. This relative increase in weight amounts to nearly 8% of the pre-reunion average excess weight (18.33 basis points).

In Column (2), the coefficient on $Alumni \times ReunionQtr$ is also positive and statistically significant, with a notably smaller effect size and at the 10% significance level. Given most of the pairs under the $Alumni$ connection do not have a chance to meet during the reunion, this significant result does not make a lot of sense until when both $Alumni$ and $ReunionAlumni$ each interact with $ReunionQtr$ included in the regression model illustrated in Column (3).

In Column (3), the magnitude of the coefficient for $Alumni \times ReunionQtr$ drops significantly and loses statistical significance. In contrast, the coefficient of $ReunionAlumni \times ReunionQtr$ remains comparatively large and statistically significant. This finding suggests that the influence of MBA alumni reunions on fund managers' portfolio weight allocations is not likely attributable to firms whose senior officers attended the same school and are not invited to the same reunion events as fund managers. Columns (2) and (3) together confirm that the increased alumni interaction is responsible for the marked increase in buying behavior observed among fund managers.

In Column (4), I exclude from $ReunionAlumni$ all alumni connections where fund managers and firm senior officers graduated in the same year (same class) and observe a larger magnitude on the interaction terms with a similar significance level compared to Column (1). Given the fact that individuals who overlap campus life are more likely to maintain a higher degree of familiarity and interaction in the first place, the MBA alumni reunion may be less significant for these pairs to strengthen their alumni bonds. Therefore, the increased magnitude of the interaction term observed in Column (4) compared to the one in Column (1) suggests that the MBA alumni reunion is more significant for fund manager

and firm senior officer pairs who are less familiar with each other before the events. Column (1) and Column (4) together find support for the assumption underlying my identification strategy that alumni reunion events are crucial forums for alumni cohorts to socially interact and build close, affinity-based relationships, and induce follow-up stock purchases.

Taken as a whole, my analysis suggests that fund portfolio weights are significantly different in response to MBA alumni reunions. Fund managers tilt their portfolios toward the companies managed by individuals with whom they overlapped at the MBA alumni reunions after the events, and such buying behavior is driven by direct interaction irrespective of the concurrent change in performance of the stock within the reunion time frame.

5.3 Pre-, and Post-trend Test

To confirm and illustrate the parallel trend in the regression presented in Column (1) in Table 4, I run the same regression but with the *ReunionQtr* dummy replaced by event dummies. The event dummies are the relative time variables with $h = -3, \cdots, 0, \cdots, 3$, where $h = 0$ is the quarter when the actual reunion takes place. I run the following regression:

$$\begin{aligned} \Delta w_{i,s,h} = \beta_0 + \sum_{h=t-3}^{t+3} (\beta_h Event_{i,h} + \beta_{1,h} Event_{i,h} \times ReunionAlumni_{i,s,h}) \\ + StockQuarterFE_{s,t} + FundFE_i + \epsilon_{i,s,t} \end{aligned} \tag{3}$$

Figure 3 plots the point estimates of $\beta_{1,h}$ with 95% confidence interval. $\beta_{1,h}$ is the interaction term between $Event_{i,h}$ and $ReunionAlumni_{i,s,h}$, which indicates that fund managers and senior officers at firms are connected by MBA alumni reunion. The estimates are not significantly different from 0 in the pre-and post-reunion period and become significantly positive during the reunion, which confirms the absence of a pre-trend.

Insert Figure 3 near here.

5.4 Placebo Test

The key assumption underlying my identification strategy is that MBA alumni reunion events are crucial forums for alumni to socially interact and build close, affinity-based relationships through which they strengthen interactions. In the following tests, I exploit the prevalence of the five-year increment staggered reunion practice in a placebo test to further highlight that relationships established at reunion events indeed explain the increased holdings by connected mutual fund managers.

I run the following regression to conduct the placebo test, I first identify false reunion connections for firm officer and fund manager pairs by arbitrarily selecting reunion increments besides 5 years. Results indicating that false reunion connections exhibit similar explanatory power as actual reunion connections would undermine the validity of using reunion connections as an identification strategy.

$$\begin{aligned}\Delta w_{i,s,t} = \beta_0 &+ \beta_1 ReunionAlumni_{i,s,t} + \beta_2 ReunionQtr_{i,t} + \beta_3 ReunionQtr_{i,t} \times ReunionAlumni_{i,s,t} \\ &+ ReunionQtr_{i,t} \times Cohort_X_Increments_{i,s,t} + Cohort_X_Increments_{i,s,t} \\ &+ StockQuarterFE_{s,t} + FundFE_i + \epsilon_{i,s,t},\end{aligned} \tag{4}$$

I construct a set of false reunion connection variables by randomly selecting increments other than 5. Specifically, *Cohort_X_Increments* equals 1 if a mutual fund manager shares an alumni connection with a firm senior officer, *and* their graduation years are separated by X-year increments, where X is any value other than 5. Otherwise, the variable takes the value of 0. I randomly select the 3 numbers on either side of 5 for values of X and construct *Cohort_X_Increments* for each value selected.[15] Then, I include each false-connection variable and its interactions with the reunion quarter variables in the base model to test whether the false-connection variables also exhibit explanatory power on the mutual fund-connected holdings.

[15] In untabulated tests, I use prime numbers on either side of 5 (e.g., 2, 3, 7, 11, 13) and find quantitatively similar results to the reported results. Furthermore, I construct the measures separately for mutual fund managers' connections with firm senior officers and find the inference from the results unchanged.

Insert Table 5 near here.

The first column of Table 5 replicates the first column of Table 4, both aiming to test how holdings are different in response to the actual alumni reunions that take place in five-year increments after graduation. I report the rest of the results in Columns (2) – (7) of Table 5. I find that all interaction terms between the false-connection variables and the reunion quarter variables show insignificant coefficients. I obtain similar results in Column (8) when including all false-connection variables together in the base model. Moreover, the coefficient of 1.473 basis points on $ReunionAlumni \times ReunionQtr$ in Column (8) and its t-statistics are highly comparable to those in Column (1). This result indicates that including all of the false-connection variables has little effect on the explanatory power of the 5-year-increment interaction variable. These results strongly support my prediction that reunion events provide a crucial forum for interactions among the invited alumni cohorts, thereby facilitating connected investments through alumni networks.

5.5 Do funds outperform the connected stocks invested after MBA alumni reunions?

My results thus far show that funds significantly increase allocations to companies whose senior officers have attended the same MBA alumni reunions as their fund managers. This purchasing behavior is driven by direct interaction, irrespective of any concurrent changes in the stock's performance during the reunion time frame. The mere fact that fund managers place large bets on these companies does not imply that these choices are beneficial. In this section, I test the information and familiarity hypotheses using direct, performance-based analyses.

The two hypotheses offer very different empirical predictions concerning performance. If fund managers overweight companies managed by individuals meet in the MBA alumni reunions, due to the comparative advantage they hold in obtaining information about these companies, then these stocks should perform better than their other holdings. In contrast, the performance effect of familiarity should be nonpositive and depend on whether

fund managers have any skills in general. If fund managers do not generally possess a superior ability to pick stocks, choosing based on familiarity will produce outcomes that are no worse than any of their other stock selection methods. In this case, familiarity will have no effect on performance. Alternatively, if fund managers are skilled, familiarity should lead to a lower return since the choice of these stocks, unlike those of other stocks in the manager's portfolio, is motivated by behavioral rather than informational reasons.

To investigate this question, I run stock-level tests and compare two types of fund managers' investment performance on the same stock, one manager being MBA reunion connected to this firm's senior officer and another doesn't have this connection, before and after the MBA reunion. If fund managers collect stock-related information during these interactions, they are expected to buy before the connected stock price increases and sell before the price decreases and would display superior stock-level investment performance. In contrast, relying on familiarity to select stocks followed by these interactions will display no timing ability to trade stocks which in turn will generate no superior or even inferior performance.

In a formal manner, I initially establish my dependent variable via the calculation of each fund's three-, six-, and nine-month investment returns for every individual stock. This process is achieved by cumulating each fund's quarterly returns of the dollar value invested adjusting for buys and redemptions, pre- and post-reunion. If a fund holds any position in stock for at least a quarter during the sample period, then for the quarters with no holding for this pair, I set the return as 0%.

Using panel data where the same stock receives investments from a consistent group of managers, some of whom have interacted with the firm's senior officers during MBA alumni reunions, I can include Stock $\times$ Post-reunion fixed effects. These fixed effects account for all time-invariant characteristics of the stock, comprising the underlying stock returns over a comparably brief period, both pre-and post-reunions. With the incorporation of these fixed effects, the regression analysis effectively isolates the timing decisions of managers, while concurrently maintaining all other facets of the investment as constant.

Specifically, I estimate the effects of the MBA alumni reunion, which increases the de-

gree of interaction between fund managers and senior officers at firms, on the performance of reunion-connected stocks using the following difference-in-difference approach:

$$\begin{aligned} Return_{i,s}^{\text{pre,post}} &= \beta_0 + \beta_1 Connection_{i,s} + \beta_2 PostReunion_i + \beta_3 Connection_{i,s} \\ &\times PostReunion_i + StockFE_s \times PostReunion_i + FundFE_i + \epsilon_{i,s} \end{aligned} \tag{5}$$

where $Return_{i,s}^{\text{pre}}$ ($Return_{i,s}^{\text{post}}$) is three-, six-, and nine-month investment returns of fund i on stock s before (after) reunion, $Connection_{i,s}$ represents the two types of relationships between fund i and firm s. These relationships are based on whether a fund manager in fund i and a senior officer in firm s attended the same MBA program ($Alumni$), or attended the same MBA program plus could be invited to the same MBA alumni reunions ($ReunionAlumni$), $PostReunion_i$ is a dummy indicating the post-reunion period since the end of the fund i manager's participation in the reunion. Fund fixed effects control for time-invariant traits of fund managers, and $StockFE \times PostReunion$ fixed effects absorb the effect of each stock's average return over the three, six, or nine months before and after reunions. Standard errors are clustered by fund and stock.

Insert Table 6 near here.

Table 6 shows the regression result. The coefficient of interest is that of the interaction term, which is statistically insignificant in all specifications. Notably, the results in Column (2), Column (4), and Column (8) — incorporating the $StockFE \times PostReunion$ fixed effects — suggest that the three-, six-, and nine-month returns on stocks managed by fund managers connected through the MBA alumni reunions don't exhibit any significant statistical deviation when compared to returns from managers lacking such connections. The magnitude of these interaction terms was mostly found to be negative even absent of statistical significance. These results suggest that fund managers do not appear to have a comparative advantage in choosing which MBA reunion-linked stocks to buy and oftentimes receive negative returns from connected positions.

Taken together, my results are in favor of the familiarity hypothesis. Specifically, an increase in contacts leads to a notable surge in buying behavior, despite the absence of superior returns.

6 Conclusion

In this paper, I investigate the causal role of social interaction on mutual fund managers' portfolio choices. Using manually collected information on the Top 30 MBA networks of alumni reunion cohorts, I employ a staggered difference-in-differences method to explore whether the MBA alumni reunion connecting mutual fund managers and the firm's senior officers (defined as CEO, CFO, and Chairman) facilitates the mutual fund managers' familiarity-driven trading as a result of increased interactions.

My analysis suggests that fund portfolio weights are significantly different in response to MBA alumni reunions. Fund managers tilt their portfolios toward the companies managed by individuals with whom they overlapped at the MBA alumni reunions after the events, and such buying behavior is driven by direct interaction irrespective of the concurrent change in performance of the stock within the reunion time frame.

My performance test results suggest that fund managers do not appear to have a comparative advantage in choosing which MBA reunion-linked stocks to buy and oftentimes receive negative returns from connected positions. Taken together, my results are in favor of the familiarity hypothesis. Specifically, an increase in contacts leads to a notable surge in buying behavior, despite the absence of superior returns.

My results are robust to confounding factors and alternative specifications. These findings highlight the role of social networks as channels for the formation of behavioral bias.

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Tables and Figures

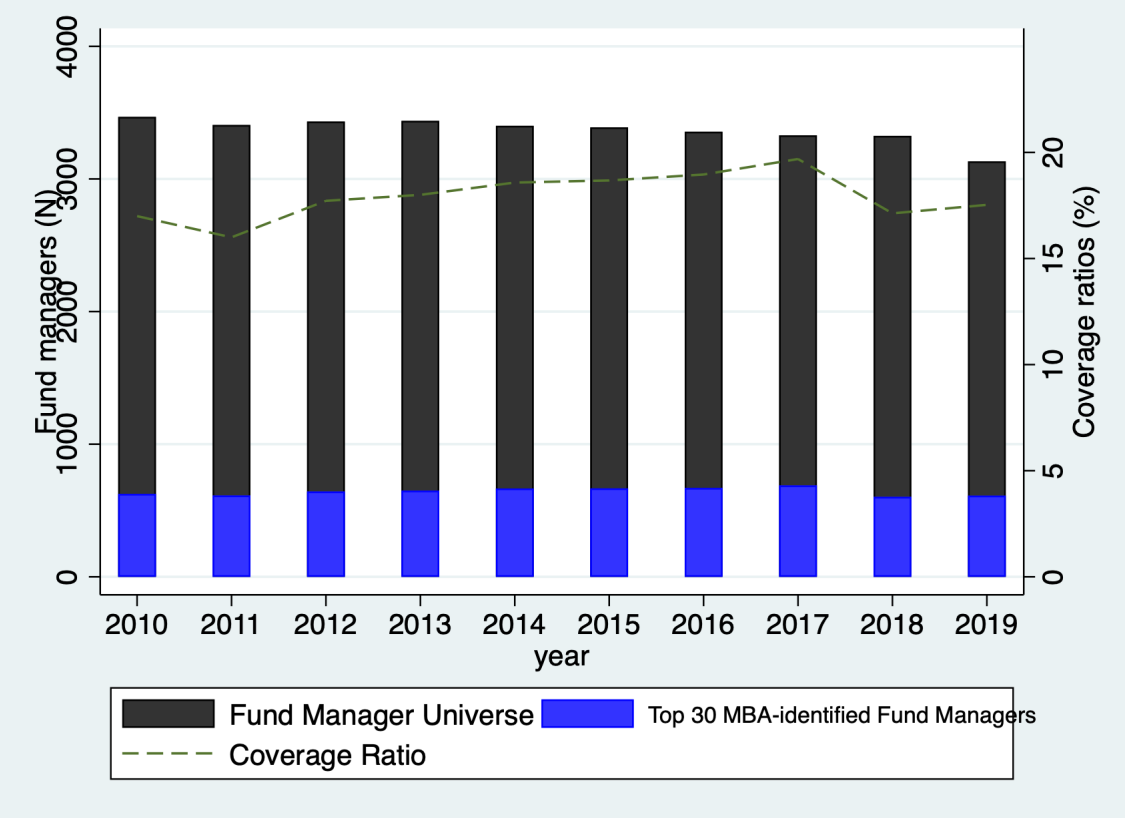


Figure 1: **Coverage of the Top 30 MBA-identified Fund Managers** This figure illustrates my sample coverage (black dotted line) of the top 30 MBA-identified fund managers (blue bars, absolute values) relative to all fund managers serving in the U.S.-domiciled benchmark universe of actively managed U.S. equity mutual funds (black bars, absolute values) in the period 2010–2019. The sample of MBA-identified fund managers includes 1,403 of the 8,153 fund managers in the benchmark universe. The benchmark universe of funds used to compute percentage coverages is the fund sample consisting of 100,973 fund-quarter observations whose construction is detailed in Section 4.1.

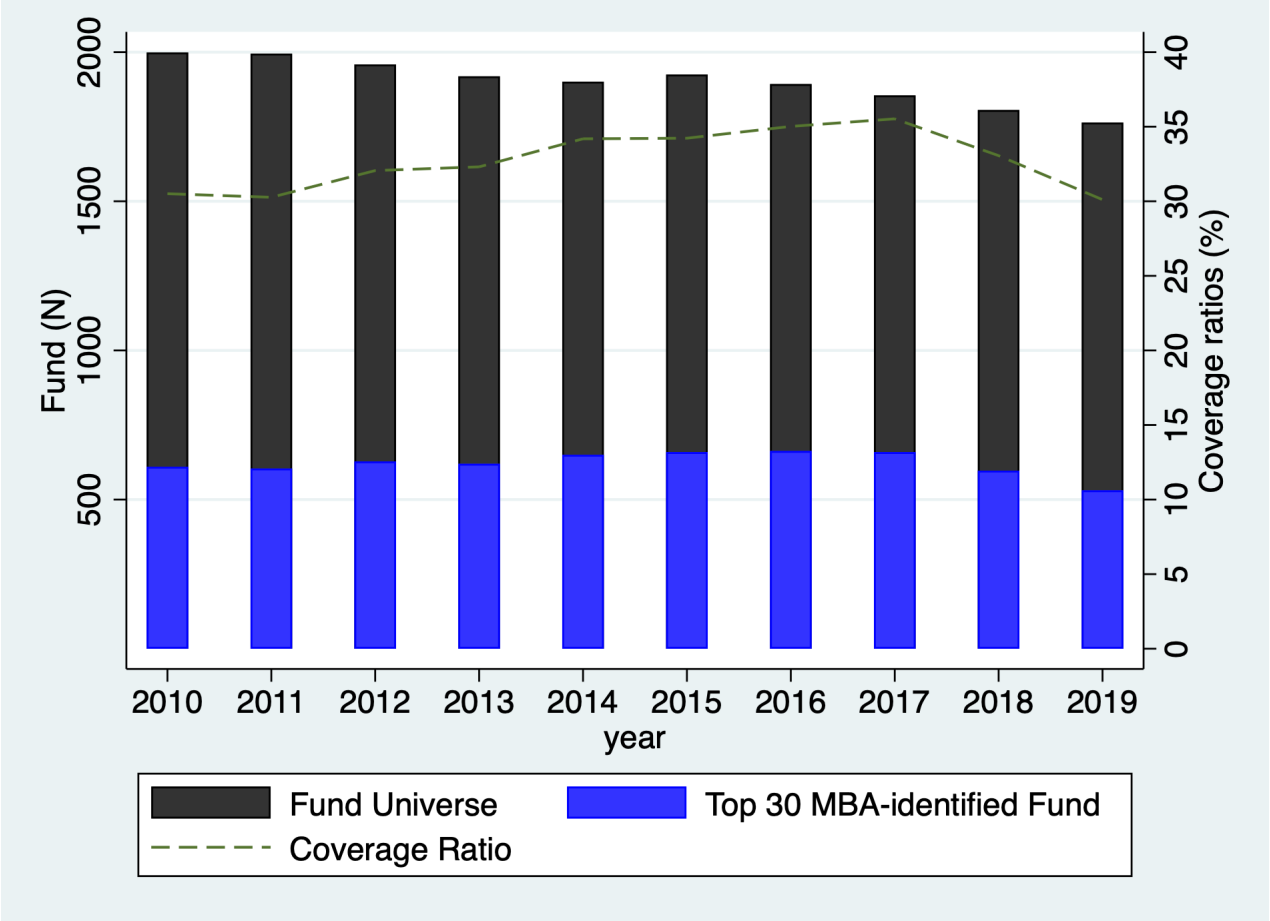


Figure 2: **Coverage of the Top 30 MBA-identified Fund** This figure illustrates my sample coverage (black dotted line) of the top 30 MBA-identified funds (blue bars, absolute values) relative to all fund in the U.S.-domiciled benchmark universe of actively managed U.S. equity mutual funds (black bars, absolute values) in the period 2010–2019. The sample of MBA-identified funds includes 1,151 of the 4,213 funds in the benchmark universe. The benchmark universe of funds used to compute percentage coverages is the fund sample consisting of 100,973 fund-quarter observations whose construction is detailed in Section 4.1.

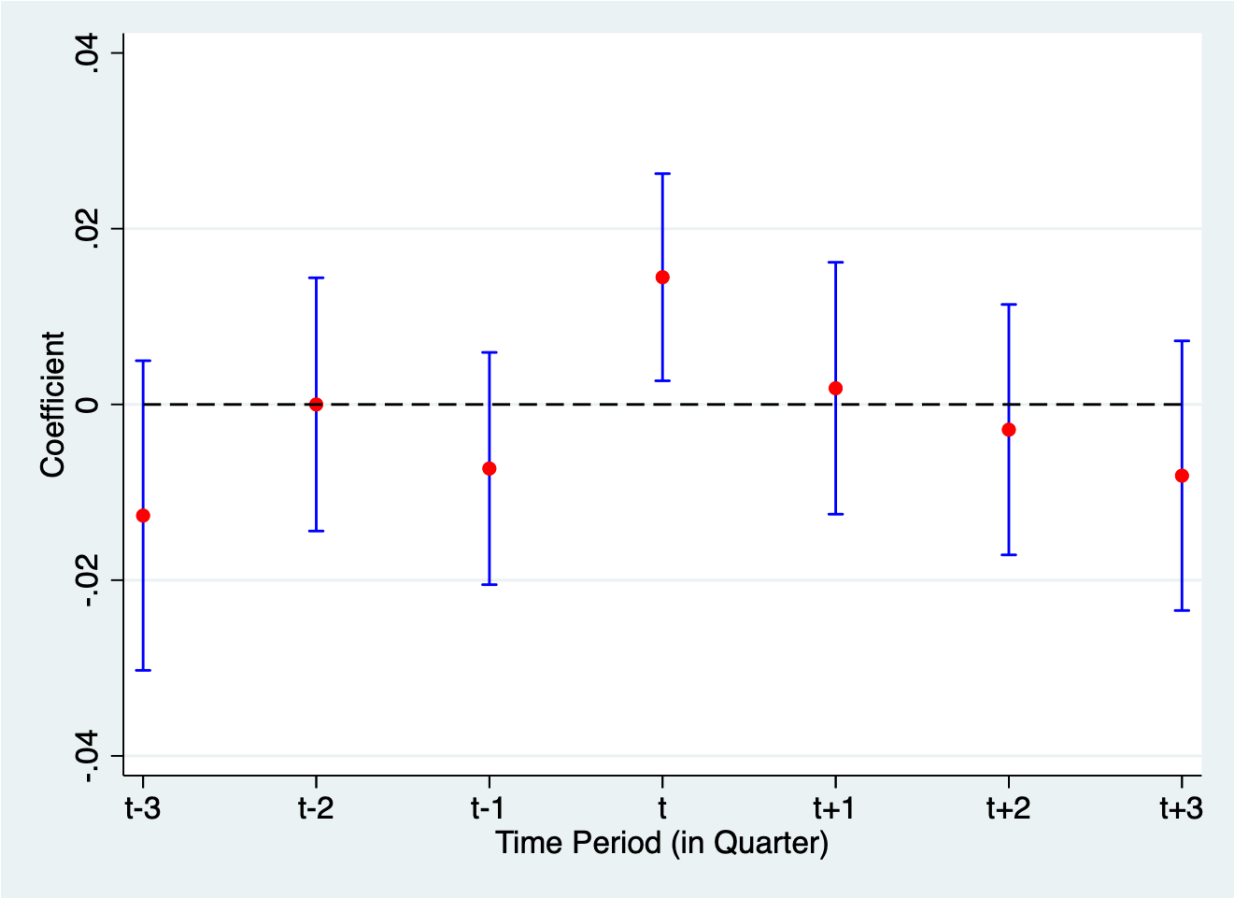

.04
.02
0
-.02
-.04
Coefficient
t-3
t-2
t-1
t
t+1
t+2
t+3
Time Period (in Quarter)

Figure 3:

Table 1: **Summary Statistics: Top 30 MBA Degree Record-Identified Sample of Funds I**

This table presents annual summary statistics for the Top 30 MBA degree record-identified sample of mutual funds, the funds' common stock holdings, and the stocks' firm management personnel. For each variable, I report its mean, median, minimum, maximum, and standard deviation (STD). The sample of funds consists of 26,381 fund-quarter observations covering the period 2010–2019. It includes domestic actively managed U.S. equity mutual funds from CRSP for which I identify the Top 30 MBA degree record of at least one of the fund's portfolio managers. The benchmark universe of funds used to compute percentage coverages is the fund sample consisting of 100,973 fund-quarter observations whose construction is detailed in Section 4.1. The sample of stocks includes the Top 30 MBA degree record-identified funds' holdings in common stocks covered by the CRSP stock universe. The data on firm management personnel are obtained from BoardEx and include firm officers heading the Top 30 MBA degree record-identified funds' stock holdings.

	Mean	Median	Min	Max	STD
Top 30 MBA degree record-identified funds per year	622	624	531	663	40
% of funds in benchmark universe	32.72	33.68	30.12	35.52	2.01
% of total net assets in benchmark universe	31.93	32.77	21.73	42.11	6.46
Top 30 MBA degree record-identified fund managers per year	645	647	603	689	29.39
% of fund managers in benchmark universe	16.12	17.22	15.98	19.69	1.12
Firms held by funds per year	3,878	3,879	3,764	4,060	89
% of stocks in CRSP universe	69.47	69.66	67.23	71.35	1.47
% of market cap in CRSP universe	83.53	84.51	73.23	89.23	5.15
Firm senior officers of firms held by funds per year	4,132.37	4,110	3,998	4,322	115.63
% of firm senior officers in BoardEx sample	24.37	24.48	23.67	25.33	0.53
Top 30 MBA degree record-identified firm senior officers per year	1,532.30	1,540	1,130	1,898	249.22

Table 2: **Summary Statistics: Top 30 MBA Degree Record-Identified Sample of Funds II**

This table presents the sample funds' number of Top 30 MBA degree record-identified managers, assets under management (AUM), number of holdings, and number of holdings in the Top 30 MBA network and the MBA reunion network. For each variable, I report its fund-quarter observations (N), mean, median, minimum, maximum, and standard deviation (STD). The sample covers 2010–2019 and includes domestic actively managed U.S. equity mutual funds from CRSP for which I identify the Top 30 MBA degree record of at least one of the fund's portfolio managers.

	N	Mean	Median	Min	Max	STD
Number of managers in benchmark universe	26,381	2.45	2	1	19	1.98
Number of Top 30 MBA managers	26,381	1.20	1	1	5	0.91
Number of holdings	26,381	136.12	109	19	581	92.15
Number of Top 30 MBA network holdings	26,381	15.25	9	0	122	17.82
Number of Top 30 MBA reunion network holdings	26,381	2.25	2	0	28	1.67
Fund AUM ($ billion)	26,381	1.56	0.35	0.001	10.21	3.71

Table 3: **Portfolio Weights in Alumni and Reunion-Alumni Connections**

This table reports pooled OLS quarterly regressions of mutual funds' portfolio weights in MBA alumni-linked and MBA alumni-reunion-linked stocks. The sample period is 2009–2019, and the units of observation are fund-stock quarters. The dependent variable is the fund's dollar investment in a stock as a percentage of the fund's total net assets (w). *Alumni* equals one if a senior officer (CEO, CFO, or chairman) of the firm and the fund's portfolio manager received an MBA from the same institution. *ReunionAlumni* equals one if they also overlap at MBA alumni reunions. Controls, where indicated, are %STYLE, the percentage of the fund's total net assets invested in the style of the stock (style is calculated as in Daniel et al. (1997)), and ME, BM, and R12, the percentiles of market equity, book-to-market, and the past 12-month return. Quarter fixed effects are included in every column. Industry (Fama–French 48), firm, and fund fixed effects are included where indicated. Standard errors are clustered by quarter and reported in brackets. ***, **, and * denote significance at the 1%, 5%, and 10% levels.

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Alumni	8.31***		7.02***		5.91***	4.52*	5.66***	11.02***
	[0.61]		[0.61]		[0.83]	[2.62]	[0.85]	[0.54]
ReunionAlumni		18.33***	12.04***	11.16***	13.13***	13.43**	12.75***	5.39***
		[1.93]	[1.91]	[1.90]	[2.58]	[6.02]	[2.69]	[1.64]
Constant	81.33***	82.03***	81.33***	80.13***	90.43***	77.19***	103.18***	70.73***
	[0.10]	[0.00]	[0.13]	[0.25]	[2.04]	[3.46]	[1.93]	[1.41]
Controls	No	No	No	No	Yes	Yes	Yes	Yes
Quarter FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Industry FE						Yes		
Firm FE							Yes	
Fund FE								Yes
Observations	2,923,145	2,923,145	2,923,145	2,513,321	2,301,765	2,301,765	2,301,765	2,301,765
Adjusted R^2	0.03	0.03	0.04	0.04	0.16	0.21	0.22	0.49

Standard errors, clustered by quarter, in brackets.
* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table 4: **Effect of MBA Alumni Reunions on Mutual Fund Holding Weights**

This table reports OLS estimates of the effect of MBA alumni reunions on the holding weights of connected firms. The dependent variable is $\Delta w_{i,s,t+1}$, fund i's change in portfolio weight in stock s from t to $t+1$. *ReunionAlumni* equals one if a fund manager and a senior officer at the firm share an alumni connection and graduated in increments of five years, so both are invited to the same reunion, and zero otherwise. *Alumni* equals one if they share an alumni connection. The coefficients of interest are the interactions of these indicators with *ReunionQuarter*. In column (4), *ReunionAlumni* excludes pairs who graduated in the same year. All columns include fund fixed effects and stock-quarter fixed effects. Standard errors are clustered by quarter and fund. ***, **, and * denote significance at the 1%, 5%, and 10% levels.

	(1)	(2)	(3)	(4)
ReunionAlumni	−0.283		−0.377	−0.327
	(0.354)		(0.355)	(0.353)
ReunionQuarter	0.180	0.153	0.162	0.167
	(0.115)	(0.118)	(0.118)	(0.111)
ReunionAlumni × ReunionQuarter	1.448**		1.327**	1.556**
	(0.601)		(0.606)	(0.625)
Alumni		0.136	0.154*	
		(0.086)	(0.086)	
Alumni × ReunionQuarter		0.401*	0.155	
		(0.219)	(0.223)	
Stock-quarter FE	Yes	Yes	Yes	Yes
Fund FE	Yes	Yes	Yes	Yes
Observations	2,113,576	2,113,576	2,113,576	1,823,673
Adjusted R^2	0.172	0.172	0.172	0.176

Standard errors, clustered by quarter and fund, in parentheses.
* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table 5: **Placebo Test: Alternative Increments of Reunion Cohorts**

This table reports OLS estimates of whether false alumni-reunion connections predict mutual funds' weight allocations. The dependent variable is $\Delta w_{i,s,t+1}$. *ReunionAlumni* equals one if a fund manager and a senior officer share an alumni connection and graduated in increments of five years. *Cohort X* equals one if they share an alumni connection and graduated X years apart, where X is not 5. The coefficients of interest are the interactions of these indicators with *ReunionQuarter*. All columns include fund fixed effects and stock-quarter fixed effects. Standard errors are clustered by quarter and fund. ***, **, and * denote significance at the 1%, 5%, and 10% levels.

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
ReunionAlumni	−0.283	−0.316	−0.299	−0.259	−0.273	−0.300	−0.287	−0.331
	(0.354)	(0.357)	(0.350)	(0.354)	(0.353)	(0.356)	(0.354)	(0.355)
ReunionQuarter	0.180	0.172	0.186	0.173	0.176	0.186	0.179	0.186
	(0.115)	(0.117)	(0.115)	(0.116)	(0.115)	(0.115)	(0.115)	(0.116)
ReunionAlumni × ReunionQuarter	1.448**	1.369**	1.529**	1.354**	1.404**	1.480**	1.437**	1.473**
	(0.601)	(0.602)	(0.602)	(0.601)	(0.603)	(0.602)	(0.603)	(0.601)
Cohort 2		0.124						0.267
		(0.151)						(0.187)
Cohort 2 × ReunionQuarter		0.227						0.000
		(0.364)						(0.426)
Cohort 3			0.090					0.207
			(0.218)					(0.261)
Cohort 3 × ReunionQuarter			−0.409					−0.864
			(0.566)					(0.666)
Cohort 4				−0.192				−0.514
				(0.263)				(0.326)
Cohort 4 × ReunionQuarter				0.680				0.737
				(0.654)				(0.879)
Cohort 6					−0.175			−0.492
					(0.360)			(0.442)
Cohort 6 × ReunionQuarter					0.735			1.394
					(1.049)			(1.258)
Cohort 7						−0.313		−0.360
						(0.400)		(0.408)
Cohort 7 × ReunionQuarter						0.549		0.563
						(0.972)		(0.975)
Cohort 8							0.288	0.554
							(0.482)	(0.556)
Cohort 8 × ReunionQuarter							0.453	−0.253
							(1.098)	(1.398)
Stock-quarter FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Fund FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Observations	2,113,576	2,113,576	2,113,576	2,113,576	2,113,576	2,113,576	2,113,576	2,113,576
Adjusted R^2	0.172	0.172	0.172	0.172	0.172	0.172	0.172	0.172

Standard errors, clustered by quarter and fund, in parentheses.
* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table 6: **MBA Alumni Reunions and Three-, Six-, and Nine-Month Returns**

This table reports the three-, six-, and nine-month returns on positions linked to MBA alumni reunions. All columns include fund fixed effects and stock-quarter fixed effects. Standard errors are in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels.

	Three-month return (%)			Six-month return (%)			Nine-month return (%)		
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
ReunionAlumni	0.034		0.043	0.024		0.041	0.075		0.073
	(0.026)		(0.028)	(0.034)		(0.034)	(0.053)		(0.056)
ReunionQuarter	−0.014	−0.015	−0.015	−0.020	−0.022	−0.022	−0.012	−0.011	−0.011
	(0.018)	(0.018)	(0.018)	(0.031)	(0.031)	(0.031)	(0.038)	(0.038)	(0.038)
ReunionAlumni × ReunionQuarter	0.014		0.000	−0.001		−0.016	−0.074		−0.070
	(0.035)		(0.033)	(0.033)		(0.031)	(0.058)		(0.061)
Alumni		−0.006	−0.010		−0.020*	−0.023**		0.009	0.002
		(0.010)	(0.010)		(0.011)	(0.011)		(0.018)	(0.019)
Alumni × ReunionQuarter		0.015	0.015		0.015	0.017		−0.012	−0.005
		(0.013)	(0.013)		(0.012)	(0.012)		(0.020)	(0.021)
Fund FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Stock-quarter FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Observations	852,160	852,160	852,160	743,939	743,939	743,939	684,145	684,145	684,145
Adjusted R^2	0.016	0.016	0.016	0.030	0.030	0.030	0.077	0.077	0.077

Standard errors in parentheses.
* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.